

themes by design

Given the desire for longevity and consistency of performance around ROCE and revenue growth, the Coffee Can Portfolio is oriented towards the following themes:

More B2C (Business to Consumer) than B2B (Business to Business) sectors: By definition, a B2C firm is one which sells its products or services directly to the end-consumer unlike a B2B firm which sells to another business, which in turn sells it forward after adding more value to it. Most B2C businesses are in sectors like consumption (in the broadest sense of the word), banking and pharma. Within B2C, the Coffee Can portfolio attracts businesses with smaller ticket size and repeat purchase of products and services (i.e. excluding infrequent large ticket consumption areas like residential real estate) where the companies can leverage on loyalty built with consumers during frequent customer interactions as one of its competitive advantages.

Due to its proximity with the end-consumer, a great B2C firm is better able to respond to or drive an evolutionary trend of its end-consumer. Hence, a portfolio construct chasing consistency of performance over long periods is likely to end up focusing more on B2C businesses than B2B businesses. Over the past seventeen years, Ambit's Coffee Can philosophy has seen an average of 75 per cent allocation to sectors like consumption (including autos, home-building materials, staples consumption and discretionary consumption), banking, pharma and IT.

More structural rather than cyclical plays: An analysis of BSE200 companies (ex-financial services) shows that historically the only ten-year periods when cyclical stocks¹⁸ outperformed structural (non-cyclical) stocks were when the commodities cycle was roaring. Hence, a long-term investor who wants to be successful at investing in cyclical stocks needs to second-guess the commodities cycle in order to identify a turnaround for cyclicals. We are not good at this and most investors that we know are not very good at this either. On the other hand, a long-term investor who wants to successfully